



PAPER – 1: FINANCIAL REPORTING



QUESTIONS

Case Scenario I

X Ltd. prepares its financial statements based on Indian Accounting Standards.

X Ltd. (lessee) enters into an agreement with Y Ltd. (lessor) to lease an entire floor of a building for a period of 10 years with an option to extend the lease for five years. At the commencement date, X Ltd. is not reasonably certain to exercise the option to extend the lease. Lease payments are ₹ 50,000 per year during the initial term and ₹ 55,000 per year during the optional period. As per the terms of contract, lease payments are required to be paid at the beginning of each year. To obtain the lease, X Ltd. incurred initial direct costs of ₹ 20,000, out of which ₹ 15,000 relates to a payment to a former tenant occupying that floor of the building and ₹ 5,000 relates to commission paid to the real estate agent that arranged the lease. As an incentive to X Ltd. for entering into the lease, Y Ltd. agrees to reimburse to X Ltd. the real estate commission of ₹ 5,000. The interest rate implicit in the lease is not readily determinable by X Ltd. X Ltd.'s incremental borrowing rate is 10%. (Consider discounting factor upto 2 decimals)

X Ltd. has deferred tax assets, recognised in the balance sheet at 31st March, 20X2 in respect of unused tax losses that can be used to reduce taxable income in future years. The income tax rate used to calculate the deferred tax asset was 40%, which was the current rate of tax applicable at the balance sheet date. A new government came to power on 1st April, 20X2 and passed legislation that, on 17th April, 20X2, the income tax rate was reduced to 33% with immediate effect.

Based on the facts given above, choose the most appropriate answer to Questions 1 to 5 below as per the relevant Ind AS.

1. What would be the lease term in the given case?
 - (a) 10 years
 - (b) 5 years
 - (c) 15 years
 - (d) Cannot be determined
2. At what value does the lease liability be recognized initially?
 - (a) ₹ 3,07,000
 - (b) ₹ 2,87,500
 - (c) ₹ 3,37,500
 - (d) ₹ 3,52,500
3. At what value the right of use assets be recognized initially?
 - (a) ₹ 3,07,000
 - (b) ₹ 3,57,500
 - (c) ₹ 3,52,500
 - (d) ₹ 3,62,500
4. What would be the amount of depreciation to be charged annually on ROU asset?
 - (a) ₹ 30,700
 - (b) ₹ 35,750
 - (c) ₹ 35,250
 - (d) ₹ 36,250
5. At what rate, would defer tax be calculated for the year ended 31st March, 20X2?
 - (a) 40%
 - (b) 33%

- (c) 7%
- (d) Nil

Case Scenario II

A Ltd. enters into a 3-year contract to provide 1,000 hours of standard call center operator time per annum for ₹ 6,00,000 (₹ 2,00,000 per year); the stand-alone selling price at inception. At the end of the 1st Year, the contract is extended for another three years @ ₹ 6,60,000 as follows:

- (i) in accordance with the contractual provisions the fee for the 1st year is reduced by ₹ 90,000 because of highly defective service; and
- (ii) the contract is extended for another 3 years for ₹ 7,50,000 (₹ 2,50,000 per year); when the stand-alone selling price is ₹ 2,30,000.

Further, Government G has significant influence over L Ltd. L Ltd. has significant influence over A Ltd. and controls K Ltd. All the entities have transactions with each other.

On the basis of the facts given above, choose the most appropriate answer to Questions 6 to 10 below based on the relevant Ind AS.

6. What amount of revenue be recognized for Year 1?
- (a) ₹ 2,00,000
 - (b) ₹ 2,25,000
 - (c) ₹ 2,30,000
 - (d) ₹ 1,10,000
7. What will be the accounting treatment for the contract extended at the end of year 1 with respect to its revenue recognition?
- (a) The modification in the contract will be accounted for prospectively by allocating remaining revenue equally for 5 years
 - (b) The modification in the contract will be accounted for retrospectively by allocating total revenue equally for 6 years
 - (c) The modification in the contract will be accounted for as two separate contract for 3 years each

- (d) The modification in the contract does not fall under the purview of Ind AS 115
8. What would be the remaining total revenue of the contract for 5 years?
- ₹ 11,50,000
 - ₹ 10,60,000
 - ₹ 12,40,000
 - ₹ 13,50,000
9. What amount of revenue be recognized for Year 2?
- ₹ 2,00,000
 - ₹ 2,25,000
 - ₹ 2,30,000
 - ₹ 1,10,000
10. State which of the following statements is correct with respect to transactions between A Ltd. and K Ltd. and between A Ltd. and L Ltd. under Ind AS 24?
- Transactions between both A Ltd. and L Ltd. and A Ltd. and K Ltd. are not disclosable.
 - Transactions between A Ltd. and L Ltd. are not disclosable but transactions between A Ltd. and K Ltd. are disclosable.
 - Transactions between A Ltd. and L Ltd. are disclosable but transactions between A Ltd. and K Ltd. are not disclosable.
 - Transactions between both A Ltd. and L Ltd. and A Ltd. and K Ltd. are disclosable.

Ind AS 102 : Share-based Payment

11. H Ltd. is a parent company and has a subsidiary S Ltd. H Ltd. and S Ltd. are unlisted entities. Following arrangements with respect to ESOP scheme took place between them:

1. Original ESOP scheme by H Ltd. (Parent ESOP scheme)

At the beginning of year 1, H Ltd. granted 1,500 options in its own shares to its own employees as well as S Ltd.'s employees (i.e. 1,000 to H Ltd.'s employees and 500 to S Ltd.'s employees) with a fair value of ₹ 15 per options, conditional upon the completion of 3 years' service. H Ltd. will settle in its own equity shares. All the options are expected to vest. H Ltd. doesn't recharge to S Ltd. for ESOP expenses.

2. New ESOP scheme by S Ltd. (Subsidiary ESOP scheme)

H Ltd. and S Ltd. are unlisted entities. However, at the end of Year 1, S Ltd. gets listed.

At the beginning of year 2, S Ltd. offers 1,500 options in its own shares to H Ltd.'s employees and its own employees (i.e. 1,000 to H Ltd.'s employees and 500 to S Ltd.'s employees), conditional upon H Ltd. and S Ltd.'s employees surrendering the right over parent ESOP scheme.

Remaining vesting period is same as H Ltd.'s ESOP scheme i.e. conditional upon the completion of remaining 2 years' service.

Incremental fair value of new ESOP scheme is ₹ 6. All the options are expected to vest. All H Ltd. and S Ltd.'s employees have opted for new ESOP scheme.

S Ltd. doesn't recharge to H Ltd. for ESOP expenses.

Required:

Analyze the above arrangements from the perspective of Consolidated Financial Statements and Individual Financial Statements of both parent and subsidiary. Also show the accounting treatment of the above arrangements in the Consolidated Financial Statements and Individual Financial Statements of both parent and subsidiary.

Ind AS 21: The Effects of Changes in Foreign Exchange Rates

12. Parent A Ltd. is the reporting entity that has net investment in foreign operations in its two foreign Subsidiaries, B Ltd. and C Ltd.

In all the following scenarios, loans made between group entities are permanent in nature (that is, settlement is neither planned nor likely to occur):

Scenario 1

Parent A Ltd., with sterling as its functional currency, is preparing its financial statements to 31st March, 20X5. It has a loan receivable of US\$ 1 million from its Subsidiary C Ltd. that has been outstanding for some time. The parent notified the subsidiary at the beginning of the financial year that no repayment of the amount will be requested for the foreseeable future.

The relevant exchange rate are as follows:

	31 st March, 20X5	31 st March, 20X4
£1=	US\$1.82	US\$1.45

Scenario 2

The facts are the same as in the above Scenario 1, except that Parent A Ltd. has a loan receivable from Subsidiary C Ltd. of £ 2,00,000 that has been outstanding for some time. The loan is treated by Parent A Ltd. as forming part of its net investment in Subsidiary C Ltd.

Required:

Determine the treatment of exchange differences in Standalone Financial Statements of both subsidiary and parent company and in Consolidated Financial Statements of parent company under both the scenarios.

Ind AS 8: Accounting Policies, Changes in Accounting Estimates and Errors

- During 20X3, T Ltd. discovered that prepayments of ₹ 680 made during 20X1 had not been recognised in profit or loss as the related expenses were incurred. The prepayments should have been recognised as an expense of ₹ 170 in 20X1; ₹ 425 in 20X2; and ₹ 85 in 20X3. The misstatement is material.

**Extract from draft 20X3 Statement of Profit and Loss before
correction of error**

	<i>Draft 20X3</i>	<i>20X2</i>
Revenue	10,200	6,800
Less: Expenses	<u>(9,350)</u>	<u>(6,120)</u>
Net profit	<u>850</u>	<u>680</u>

Extract from Statement of Changes in Equity

	<i>Draft 20X3</i>	<i>20X2</i>
Opening retained earnings	24,480	23,800
Add: Current-year net profit	<u>850</u>	<u>680</u>
Closing retained earnings	<u>25,330</u>	<u>24,480</u>

The opening balance of retained earnings is adjusted and comparatives are restated when practicable to reflect the correction of the error. Assume there are no tax effects.

Required:

Draw the revised Statement of Profit and Loss (extract) and Statement of Changes in Equity (extract) after rectifying the above error.

Ind AS 115: Revenue from Contracts with Customers

14. A Ltd. enters into a contract with a customer for the exclusive supply of paint for a three-year period. A Ltd. makes a ₹ 50,000 upfront payment, which the customer will use to customize its paint sprayers for A Ltd.'s product. A Ltd. determines the upfront payment is not in respect of or for a distinct good or service.

A Ltd. estimates ₹ 10,00,000 in sales with the customer over the three-year period. Sales for Quarter 1 is ₹ 1,00,000 and for Quarter 2 is ₹ 1,25,000. However, A Ltd. updated its estimate of total sales over the contract to ₹ 15,00,000 during Quarter 2.

Required:

Determine the net revenue to be recognized in Quarter 1 and Quarter 2 by A Ltd.

Ind AS 32 : Financial Instruments – Presentation

15. A Ltd. has issued Optionally Convertible Debentures (OCD) amounting to ₹ 300 crores to B Ltd. on following terms:

- Tenor : 4 years
- Coupon : Nil
- IRR : 15% p.a.

During the tenor of OCDs, A Ltd. can call the OCD and redeem it with stated IRR.

The market rate for similar debt without conversion features is 17% p.a.

B Ltd. can also ask for conversion at any time before maturity based on following formula:

$\text{No of equity shares} = (\text{Investment amount} + \text{applicable IRR}) / (\text{Face value of equity share; i.e. ₹ 10})$

If redemption or conversion doesn't happen before maturity, then OCDs will be redeemed mandatorily at maturity in same manner as for conversion.

Required:

How is this instrument accounted for in the books of A Ltd. in the following two scenarios:

Scenario A – When B Ltd. opts for conversion before maturity at the end of year 1

Scenario B – When B Ltd. doesn't opt for conversion and OCDs are redeemed at maturity.

Ind AS 24 : Related Party Disclosures

16. Mr. A, Mr. B and Mr. C have direct interests of 40%, 10% and 10% respectively, of Trust T. The remaining 40% interest in Trust T is held by 20 unrelated investors.

Mr. A, Mr. B and Mr. C wish to control the trust, and so they enter into a contractual arrangement to act together. In this situation, assume that 1% interest constitutes one voting right.

S Ltd. is a wholly owned subsidiary of P Ltd. and P Ltd. is wholly owned by Trust T.

Required:

Should a group of persons be disclosed as the ultimate controlling party where they have a contractual arrangement to act together?

Ind AS 2 : Inventories

17. An entity manufactures a equipment in three stages. There is a market for semi-finished product for each state, but the entity only sells the completed equipment. The following are details of the cost structure of the equipment as at the year-end:

	Conversion Cost/unit ₹	Selling price /unit ₹
Stage 1	170	130
Stage 2 – Incremental cost	<u>35</u>	
	205	195
Stage 3- Incremental cost	<u>62</u>	
	<u>267</u>	275

Required:

Assuming that the selling cost are zero, what is the NRV of the semi-finished product in stage 1 and stage 2 at the year end?

Ind AS 23 : Borrowing Costs

18. An entity has borrowed ₹ 10,00,000 specifically to finance the cost of constructing a new head office. The loan was availed on 1st May 20X8. Interest was payable at 12% per annum up to 1st February 20X9, after which the rate was revised to 13% owing to an increase in the Secured Overnight Financing Rate (SOFR). Construction of the building does not begin until 1st December 20X8 and continues, without interruption, until after the year end on 31st March 20X9. During the period of construction, the entity incurs directly attributable costs of ₹ 1,00,000

in December 20X8 and ₹ 250,000 in each month from January 20X9 to March 20X9 (for simplicity, it is assumed that these costs are incurred on the first day of each month). Each month, the borrowings (less any amount that is to be expended for the building works in that month) are re-invested and earn interest at a rate of 5% per annum.

For the year ended 31st March, 20X9, the entity incurred interest expense of ₹ 1,11,667 on the ₹ 10,00,000 loan and earned ₹ 37,917 as interest on the re-invested portion.

Required:

Determine the amount of borrowing cost to be capitalized to the qualifying asset for the year ended 31st March, 20X9.

Ind AS 7 : Statement of Cash Flows

19. Z Ltd. had acquired a subsidiary V Ltd. during the year 20X1-20X2. Summarized information from the consolidated statement of profit and loss and balance sheet together with some supplementary information have been provided:

Consolidated Statement of Profit and Loss for the year 20X1-20X2

	₹
Revenue	4,56,000
Cost of sales	<u>(2,64,000)</u>
Gross profit	1,92,000
Depreciation	(36,000)
Other operating expenses	(67,200)
Interest cost	<u>(4,800)</u>
Profit before taxation	84,000
Taxation	<u>(18,000)</u>
Profit after taxation	<u>66,000</u>

Consolidated Balance Sheet as at 31st March

	20X2	20X1
	₹	₹
Assets		
<i>Non-current assets</i>		
Property, plant and equipment	1,92,000	96,000
Goodwill	21,600	-
<i>Current assets</i>		
Inventories	36,000	42,000
Financial assets		
Trade receivables	64,800	60,000
Cash and cash equivalents	<u>9,600</u>	<u>6,000</u>
Total	<u>3,24,000</u>	<u>2,04,000</u>
Equity and Liabilities		
<i>Shareholders' equity</i>	1,08,000	42,000
<i>Non-current liabilities</i>		
Long term debt	1,20,000	76,800
<i>Current liabilities</i>		
Income tax payables	14,400	13,200
Financial liabilities		
Trade payables	<u>81,600</u>	<u>72,000</u>
Total	<u>3,24,000</u>	<u>2,04,000</u>

Other information

All of the shares of V Ltd. were acquired for ₹ 88,800 in cash. The fair values of assets acquired and liabilities assumed were:

Particulars	₹
Inventories	4,800
Trade receivables	9,600

Cash	2,400
Property, plant and equipment	1,32,000
Trade payables	(38,400)
Long-term debt	(43,200)
Goodwill	21,600
Cash consideration paid	88,800

Required:

Prepare a consolidated statement of cashflows for the year 20X1-20X2 under indirect method.

Ind AS 16 : Property, Plant and Equipment

20. A Ltd. exchanges car X with a book value of ₹ 13,000 and a fair value of ₹ 13,250 for cash of ₹ 150 and car Y which has a fair value of ₹ 13,100. The transaction lacks commercial substance, because the entity's cash flows are not expected to change as a result of the exchange; in other words, the entity is in the same position as it was before the transaction.

Required:

State the value at which Car Y should be recognized in the books of A Ltd.